

PITCH — PAX — VERDICT: PROPOSED — PENDING ADJUDICATION

Patria Investments (PAX, \$11.21–11.25) — the “compounding engine the market ignored” story is dead; what survives is a small, honest starter in a fairly-priced business with a dated reason to wait. Recommended action: **0.25% of book now, balance gated on the Q3 print.**

*Plain-language note: PAX is a Cayman-domiciled manager of Latin American private funds. Three terms recur below. **Fee income** (the firm calls it FRE) = management fees minus operating costs, before performance fees. **Cash earnings** (the firm calls it DE) = fee income after tax and financing, the number the Street quotes as EPS. **Performance fees** (PRE) = the firm’s cut of fund profits, paid only when a fund actually sells something. **Fee-paying assets** (FEAUM) = the assets that generate management fees.*

What we believe

The fee engine is real and on track. First-half fee income was \$107.6M against a full-year company guide of \$225–245M — 47.8% of the low end, with the second half needing only about +2.8% sequentially off a base that already includes the acquisition that closed in April.

But we do **not** believe there is a mispricing here, and that is a change from the idea that opened this file. Convert the company’s own fee-income guide to cash earnings at the company’s own recent conversion rate (0.888) and you get \$200–218M, or **\$1.26–1.37 per share** on the ~158.4M share count the company uses (\$1.24–1.35 on the 161.39M actually outstanding). The Street prints **\$1.38**. The market is not disbelieving the guide — it is sitting at or slightly above the top of it, and paying about 8x.

Both of our review teams independently landed on ~8x as the *fair* multiple for this business, because it is a serial acquirer whose headline metric expenses none of the assets it buys. **8x times \$1.24–1.37 is \$9.92–\$10.96. The stock is \$11.21.** On our own arithmetic we are being asked to pay 2–13% above the fair band we just derived.

So the belief is narrow and unglamorous: *this is a good, growing fee business, currently priced correctly to slightly rich, with one dated risk (an earnings-estimate cut) and one unpriced asset (accrued performance fees) that we have not been able to read.*

What the market believes

The market believes the guide, and then some. Consensus FY26 cash EPS is \$1.38 (range \$1.34–1.42 per one vendor, \$1.32–1.42 per another — see the bench-error table). First-half actual cash earnings were \$0.59, so consensus requires **\$0.79 in the second half.**

Here is the problem our defending team found and our attacking team missed: at the *top* of the company's own guide (\$245M fee income, less \$107.6M already booked = \$137.4M), converted at 0.888, over 158.4M shares, the second half produces **\$0.77 with zero performance fees**. Consensus sits above the no-carry ceiling. The Street is quietly assuming performance fees resume in a company that has printed **three consecutive quarters of zero** and cut its cumulative performance-fee target to \$80–100M.

The market also believes, correctly, that this is a Brazil-beta instrument into an October national election with policy rates near 15%. The stock is down ~35% from its 52-week high and sits 6.6% off the low.

Why we might have edge

Three honest candidates, all modest:

1. **The conversion-rate arithmetic.** Nobody publishes the fee-income-to-cash-earnings bridge; we built it from the company's own two quarters (0.844 → 0.888). It is what let us see that consensus is above the no-carry ceiling. That is a real, checkable, non-consensus number — but it points *down*, not up.
2. **The accrued performance-fee asset.** A claimed \$1.49/share (~\$238M) of accrued-but-unrealized performance fees exists only in an image-only investor deck and in secondary coverage. It appears nowhere in the vetted press release. If it is net of employee carry compensation and the funds hold their marks, it is a genuinely uncredited asset worth 13% of the stock. **We have not read it.** That is our single highest-value undone piece of work, and it is drainable this week.
3. **Direction on the improving conversion rate.** 0.844 → 0.888 in two quarters. If it reaches ~0.95, consensus closes without any performance fees at all and the “estimate cut” risk evaporates. Two data points is not a trend, and we say so.

Note what is *not* on this list: any disagreement with the Street about the number the thesis turns on. There isn't one.

Why it might be priced in

Almost all of it is. The de-rating story, the roll-up discount, and the carry cut are the *published* bear case — the sell-side price-target-cut narrative says “fairly valued around 8x” in nearly these words. Our attacking team's conclusion was novel in its arithmetic and entirely conventional in its answer.

Specifically: - **The roll-up discount is priced.** Reported net income attributable to Patria was \$10.5M in 2Q26 against \$57.1M of fee income — GAAP is 18% of the headline metric. Trailing GAAP EPS is \$0.43, a 26x multiple. The gap is acquisition intangible amortization and contingent-consideration remeasurement, and for a firm that bought abrdn PES (2024), Nexus (2024) and WP Global (2026), that amortization *is* the recurring cost of the assets. Margin corroborates: 54.0% against the company's own 58–60% target, with management naming acquisitions as the cause. - **The carry drought is priced.** Three zero quarters and a cut target are public. - **The election is priced-ish.** Everyone can see the calendar.

The only thing plausibly *not* priced is the accrued carry asset, and it is unreadable in text form — which is precisely why it might not be priced, and precisely why we can't underwrite it yet.

What could go wrong

Failure narrative 1 — the estimate cut lands (most likely). Consensus at \$1.38 exceeds the \$0.77 no-carry second-half ceiling. Q3 prints zero performance fees again, conversion stalls near 0.89, and the sell-side walks FY26 down toward \$1.30. At an unchanged 8x that is **\$10.40**; if a cut also compresses the multiple to 7x, **\$9.10**. *Tripwire exists*: consensus-revision watch and the Q3 print itself. This is the base case for a loss and it has a date.

Failure narrative 2 — Brazil beta swamps the fundamentals. The ~35% drawdown is mostly country risk, not company risk, and neither of our review teams sized it — that is a stated gap in the court, not a resolved question. An adverse October election outcome plus sticky ~15% policy rates takes EM small-caps down 10–20% and PAX more, on a beta we estimate at 1.2–1.6 but have not measured. **\$8.80** is a live print. *Tripwire exists but it is a proxy, not a signal*: Brazil ETF/currency/rate watch tells us it is happening, not that it is coming.

Failure narrative 3 — the carry asset is worth far less than \$1.49/share, and we never find out until it doesn't arrive. NO MONITORABLE TRIPWIRE. The accrued performance-fee balance sits on unlisted Latin American infrastructure and real-estate funds, marked by the manager itself, disclosed in an image-only deck with no quarterly line item, no third-party price, and no realization schedule. If those marks are stale — and this quarter's funds were *marked down* — the asset erodes silently. There is no filing, no cadence, no vendor feed and no alternative dataset that publishes this number. No sensor can be armed against it; only a realization event that may never come would reveal it. > **Unknown-unknown class: state variable with no publication venue** — a load-bearing valuation input whose true value has no disclosure surface at any frequency. Sibling class present here too: **control-block discretion** — Class B founder control means a governance or related-party action (an affiliate acquisition, a low-multiple take-private) would reach us only as a completed fact.

The reflexive and structural leg. Average volume is ~154,644 shares, about **\$1.73M a day**. At our $\leq 1\%$ -of-volume publishing rule that is ~1,546 shares (~\$17k) of buying per session. A 0.25% starter clears in one to three sessions at any plausible book size; **a full 1% position is 10–15 sessions in and 10–15 sessions out**, and EM small-cap volume contracts into an election. Our exit is the position.

Three doctrine collisions we are walking into with open eyes: - **Bidding into our own predicted flow.** We forecast an estimate cut, then set an add at \$10.96 — meaning we get filled exactly when our forecast is right, from a seller who may know the cut is worse than we do. Adverse selection is structural here, not incidental. - **No resting orders through the events.** A good-till-cancelled bid left through the October election and the November print is an accidental short-volatility position with no catalyst underwriting it. All bands below are **manual, post-event decision levels — no resting orders.** - **Wash-sale versus the gated add.** If the election branch hits, we would want to harvest the starter's loss before Dec 31. But the plan adds after the Nov 11 print. Harvesting in December while holding shares bought inside the prior 30 days disallows the

loss. **We can have the add or the harvest, not both in the same 30 days** — the adjudicator must pick, and this is materially more binding than the position size suggests, because 2026 is a harvest year under the current capital plan. - **The country risk cannot be hedged in the account.** There is no physical index instrument available at the broker for this exposure, so the election leg is unhedged by construction.

If this position loses money, the most likely reason will be that the market's earnings number was too high rather than too low — consensus cut its way back down to the company's own guide while Brazil's October election drained the multiple, and we were long a fairly-priced roll-up with \$1.7M a day of exit liquidity.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"The market gives no credit to a guide checkable in 9 weeks"	Converted company fee-income guide to cash earnings at the company's own 0.888 rate; compared to consensus	Guide implies \$1.24–1.37/sh; consensus \$1.38 sits at/above the ceiling. No bull divergence.	NO — thesis premise refuted
"Fee-paying assets grew +7% sequentially — organic compounding"	Deal terms + close date vs. quarter boundary	\$1.8B of the \$3.2B gain was the WP Global purchase (56%). Fact confirmed.	PARTIAL
<i>Bench error:</i> attacking team then inferred the second-half guide was unsupported	Checked the close date: 2026-04-01, the first day of 2Q26	The \$57.1M 2Q fee base already contains a full quarter of WP . Second half needs +2.8% off an already-complete base, not a repeat of +7%. The kill inverted a base effect.	Attacker wrong
Headline metric flatters a serial acquirer	2Q26 press release: net income attributable \$10.5M vs \$57.1M fee income; trailing GAAP EPS \$0.43	Direction confirmed; a roll-up expensing none of its bought assets deserves a haircut. Margin 54.0% vs 58–60% target corroborates.	YES (direction)
<i>Bench error:</i> "26.3x is the real multiple"	Looked for the income-statement bridge	Not disclosable — no purchase-price-allocation note until the FY26 20-F; the deck is images. Magnitude unverified. Attacker overstated precision.	NO (magnitude)

Claim	How checked	Found	Confirmed?
Exit liquidity	Volume pull	Attacker said 118,479 sh/day; the checker re-pulled from the attacker's own source and got 154,644 sh (~\$1.73M) . Attacker understated by 23%.	Corrected
Share count / per-share denominator	Form 4 + company's own per-share math	Both partially wrong: 161.39M outstanding vs the ~158.4M the company divides by. Guide is \$1.39–1.52 on real shares, \$1.42–1.54 on the company's. ~1.9% gap.	Corrected
Recent Form 4 cluster	Attacker called it "routine" without checking direction; checker read the filing	2026-09-03: one officer acquired 136,266 shares at \$0 (award vesting), all acquisitions, zero dispositions . Clean of insider selling — a positive finding — but dilutive; the \$18.3M buyback is offsetting issuance, not shrinking the count.	Attacker skipped it
Balance sheet "modest, ~1.0x fee income"	Deal terms	Incomplete but immaterial: WP base is ~\$30.6M cash (1.7% of \$1.8B) plus an undisclosed 2029 earn-out; loans \$347.3M. Does not make this a levered story.	PARTIAL
<i>Bench error:</i> dividend payout 151%	Recomputed	Attacker used GAAP EPS while arguing elsewhere the Street pays for cash earnings. On cash earnings the \$0.65 dividend is ~48% . Internally inconsistent.	Attacker wrong
Accrued carry \$1.49/sh (~\$238M)	Independent fetch of the 2Q26 press release	Returns "not disclosed" for both performance fees and accrued balances. Venue-divergent : the number lives only in an image-only exhibit and secondary coverage. Correctly excluded from the valuation basis. Provenance checked; quantity NOT drained → open item #1.	Unresolved
Global-minimum-tax exposure	Revenue vs the €750M in-scope threshold	Consensus revenue ~\$433M ≈ €400M — out of scope . The obvious bear	YES (clean)

Claim	How checked	Found	Confirmed?
		kill isn't there. A clean negative.	
Brazil election, the actual driver of the ~35% de-rating	Neither team litigated or sized it	Named, never quantified. Open gap in the court itself.	NO
Live price rail	Broker API contract search permission denied in session	Fell back to the evidence pack and a public vendor. Violates our own "live broker price before valuation" rule. Infrastructure coverage gap.	Gap
Evidence-pack integrity	Read the pack's own fields	Two problems. (a) The pack's HQ coordinates (-7.286, 112.818) resolve to Surabaya, Indonesia , not Grand Cayman — a bad extraction that must never be fed to any hazard or satellite layer. (b) The pack's XBRL section is empty , so every per-share figure here rests on press releases and vendors, not audited structured data.	Pack errors — 2
<i>Bench error:</i> tape transcription	Compared bench text to the pack	Attacker quoted the pack tape as 11.185 and drawdown -0.356 / +0.06 off low; the pack says 11.245 / -0.352 / +0.066 . Small, but it is a transcription error in a load-bearing field.	Attacker wrong
Consensus figure itself	Two vendor pulls, same day	\$1.37 (range \$1.32–1.42) vs \$1.38 (range \$1.34–1.42). ±\$0.01 unresolved. Immaterial to the conclusion — both sit above the no-carry ceiling.	PARTIAL
Detector coverage	Compared the two teams' dispatch lists	The attacking team omitted four dispatch entries the checker ran (shell-company archetype, common-control merger accounting, growth-company disclosure exemptions, US residential census). All came back not-fired or uncheckable, so nothing changed — but the coverage gap was real.	Attacker incomplete

PROPOSED ENTRY BANDS

Fair-value anchor (from the benches' own math): $8x \times$ guide-implied cash earnings of \$1.24–1.37 = **\$9.92–\$10.96**. Spot \$11.21 = 8.2–9.0x. *We are above our own fair band today.*

No resting orders anywhere in this plan. Every level below is a manual decision point after a dated event.

Step	Level / condition	Size	Note
Starter (now)	Market, hard limit \$11.45 — do not chase	0.25% of book	The clean-court minimum: the court produced no named kill on the <i>company</i> , only on the thesis and the timing. This buys attention, not exposure.
Pacing	$\leq 1\%$ of volume = ~1,546 sh/day (~\$17k)	—	The starter clears in 1–3 sessions. A full position does not.
Add 1	$\leq \\$10.96$, and only <i>after</i> the October election dates have passed	to 0.50%	Top of the fair band. Buying our own predicted cut — accept the adverse selection knowingly.
Add 2 (gated)	After the Q3 print, release balance only if EITHER a non-zero performance-fee quarter prints OR the fee-to-cash conversion rate is ≥ 0.92	to 1.0%	Price cap on the add: 8.5x the then-known run rate ($\approx \$11.65$ if cash earnings land at \$1.37).
Stop adding	$\geq \\$13.20$	—	$\sim 9.6x$ guide-implied — past our fair band and into the branch we assign 25%.
Trim trigger	Any level, if the carry drain (open item #1) shows the \$1.49/sh is gross of employee carry compensation	cut to 0.10%	The only unpriced asset would be substantially imaginary.
Abort / re-court	$< \\$9.92$	do not add	Below 8x on real shares almost certainly means the estimate cut landed. Re-open the court; do not average into a broken number.
Tax	Any harvest of the starter must be executed by 2026-12-31 and cannot sit inside 30 days of the Nov-11 add	—	Adjudicator picks: the add or the harvest.

Catalyst dates: Brazil general election first round **~2026-10-04**, runoff **~2026-10-25** (dates from the standard statutory calendar — **not verified against a primary source in this session**). Q3 2026 earnings **2026-11-11 — UNCONFIRMED**, derived from a vendor calendar; no company release names a Q3 date as of today, and investor relations has announced only 2026-05-07 and 2026-07-31. Roughly 48 trading days out, and **after** the election. FY26 annual report (the filing that would price the amortization question) expected ~Q1–Q2 2027. WP Global earn-out payable 2029.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.92 (deck-provisional: 8x guide-implied low end on actual 161.39M shares. Below this the cut has landed; abort and re-open th)
- filing watch: 6-K until 2027-03-03 (deck-provisional: Q3 2026 results: the non-zero performance-fee test and the fee-to-cash conversion rate that together r)
- dated pack PAXI2026-10-04: PAX: Brazil general election, first round (statutory calendar; not verified against a primary source this session) (date confirmed=False)
- dated pack PAXI2026-10-25: PAX: Brazil general election, runoff if required (date confirmed=False)
- dated pack PAXI2026-11-11: PAX: Q3 2026 earnings; vendor-derived, no company release names it. The gating event for the balance of the position. (date confirmed=False)
- dated pack PAXI2026-12-31: PAX: Tax-year boundary: any loss on the starter must be harvested by this date, and cannot sit within 30 days of a post-print add (date conf

What remains unverified

1. **Accrued performance fees: \$1.49/share (~\$238M), gross or net of employee carry compensation.** Drainable now — the 2Q26 investor presentation is a 31-image exhibit; the images must be *read*, not text-searched. Highest-value open item.
2. **Organic versus acquired fee-paying-asset bridge for 2Q26.** No bridge in the press release. Drainable from the same image exhibit.
3. **Whether Q3 2026 prints a non-zero performance fee.** Time-gated. Estimate: **\$0–40M**, probability of any non-zero print **≈0.30** — base rate from three consecutive zero quarters against a cut \$80–100M cumulative target.
4. **Second-half fee-to-cash conversion rate.** Two observations only (0.844, 0.888). Estimate: **0.88–0.93**, probability of ≥ 0.92 **≈0.25** — linear extrapolation of a two-point trend, deliberately discounted.
5. **Annual acquisition intangible amortization and remaining life.** Only in the FY26 annual report. Estimate: **\$35–55M/yr**, probability 0.6 — derived from the ~\$46.6M quarterly gap between fee income and reported net income, apportioned using typical asset-manager purchase allocations (contract intangibles 60–80% of price, 7–12 year lives).
6. **WP Global 2029 earn-out size.** Undisclosed. Estimate: **\$30–60M**, probability 0.5 — 1–2x the \$30.6M cash base, the standard range in asset-manager acquisitions; the abrdn PES deal carried up to \$100M total consideration as the upper comp.

7. **Q3 2026 report date.** Estimate: **2026-11-05 to 2026-11-18**, probability 0.7 — from the company's own 2026 cadence (May 7, July 31).
8. **Options chain: existence, chain-level midpoint implied volatility, real quotes on candidate strikes.** Blocked — broker contract search permission denied. Estimate: **35–45% annualized implied**, probability ≈ 0.4 that a usable December chain (spread under 15% of mid) exists at all for a \$1.8B name with \$1.7M/day of stock volume.
9. **Realized volatility (90-day).** Not in the pack; no bar series available this session. Estimate: **30–38% annualized**, probability 0.5 — from the 52-week range ($\ln(17.36/10.55) = 0.498$) and EM asset-manager comparables.
10. **PAX's measured sensitivity to Brazil country risk.** Never regressed by either team. Estimate: **beta 1.2–1.6** to the Brazil equity proxy, probability 0.5. Draggable now with a daily-bar regression.
11. **Whether the buyback keeps pace with share issuance.** Estimate: issuance **~3.0M sh/yr** (the 161.39M-vs-158.4M gap) against **~1.6M sh** repurchased at \$18.3M, i.e. **net dilution ~0.9%/yr**, probability 0.6. Settles at the next quarterly report.

PRIZE TABLE + VOL READ

Horizon **2026-09-04 → 2026-12-31** (chosen so the loss branch lands inside the current tax year). Spot **\$11.21**.

Anchor first, then adjustments. The honest starting anchor for a stock with no earnings divergence, trading at its fair multiple, over four months at $\sim 32\%$ volatility, is roughly: 30% chance of down $>8\%$, 8% chance of down $>20\%$, 43% in the middle, 15% up $>18\%$, 4% up $>38\%$. I move two things and name the mechanism for each: the **deep-down branch goes 8% → 15%** because two independent left-shocks are dated inside the window (consensus sits above the no-carry ceiling, and a national election); the **middle thins 43% → 25%** because a fork-dated window pushes mass to the wings. Upside branches stay at anchor — nothing in the court justifies moving them.

Scenario	Mechanism	p	Price	p × price
Estimate cut lands, multiple holds $\sim 8\times$ on the cut number	Zero performance fees again, conversion stalls ~ 0.89	0.35	\$10.20	3.57
Cut plus adverse election / sticky policy rates	Both left-shocks compound; country beta 1.2–1.6	0.15	\$8.80	1.32
Guide reaffirmed, no performance fees, multiple flat	Company delivers, Street quietly trims to guide	0.25	\$11.30	2.83
Conversion ≥ 0.92 or a non-zero performance-fee quarter	The gate that releases our own add also releases the Street's	0.18	\$13.20	2.38

Scenario	Mechanism	p	Price	p × price
Performance fees resume materially and election relief	Both right tails together	0.07	\$15.50	1.09

EV = \$11.18 versus spot \$11.21. Expected value is *three cents below the price*. That is the whole pitch, quantified: no edge, hence a starter, not a position.

Distribution width from our own table: variance 3.230 → $\sigma_{\text{table}} = \$1.80 = 16.0\%$ over 0.323 years = **28.2% annualized**.

Implied vs realized volatility: cannot be computed today, and I will not fake it. The broker contract search was denied, so we have no chain, no chain-level midpoint implied volatility, and no real quotes. Doctrine forbids substituting an aggregate underlying volatility feed for chain-level midpoints — those two numbers diverge badly (the case where an aggregate feed showed 71 while the chain showed 101 is the standing example). So: **implied volatility = OPEN (item #8, estimated 35–45%); realized volatility = OPEN (item #9, estimated 30–38%); the volatility risk premium is therefore uncomputable and is a named drain item, not a number.**

Expression math, pre-computed so it is one step when the chain arrives. Pricing candidate December-2026 calls off the table itself ($C = \sum p_i \times \max(S_i - K, 0)$): - **K = \$12.50:** $0.18 \times \$0.70 + 0.07 \times \$3.00 = \$0.336$ (3.0% of spot; 25% chance of finishing in the money). - **K = \$10.00:** $0.35 \times \$0.20 + 0.25 \times \$1.30 + 0.18 \times \$3.20 + 0.07 \times \$5.50 = \$1.356$, against \$1.21 intrinsic — only **\$0.15 of time value**, because our table is left-heavy.

The comparison to run on arrival: if the \$12.50 December call is offered **below ~\$0.34**, our table says calls are cheap and the gated add could be expressed in them; **above ~\$0.34**, the chain is charging more than our own distribution supports and the answer is stock or nothing. Our 28.2% annualized table width against an estimated 35–45% implied says the chain is *probably* rich to our view — but that is an estimate against an estimate and cannot decide anything.

Bimodality: the window is genuinely fork-dated (election ~Oct 4/25, print ~Nov 11), and the table shows it — 50% of mass below \$10.20 or above \$13.20. But it is not sharply two-humped: the middle branch (guide reaffirmed, no carry, multiple flat) is a live 25%, so this is a widened distribution, not a binary.

Tax overlay — and it decides the instrument. If 2026 is a harvest year, as the current capital plan says, any option expiring after Dec 31 pushes the loss branch into 2027 and defers the harvest. Our edge is **negative three cents**. It does not numerically dominate anything, let alone a deferred loss.

Instrument recommendation — as the output of the arithmetic above: COMMON STOCK, de-minimis size, no options. Reasons, in order: (1) $EV \approx \text{spot}$, so no expression deserves leverage; (2) the chain is unpriceable today — a permission denial, not a judgment; (3) any December-or-later call defers the loss branch out of a harvest year for an

edge that is negative. If the carry drain (item #1) comes back strongly positive **and** the chain becomes readable **and** the \$12.50 December call is offered under \$0.34, revisit — that is the only path to an options expression, and all three conditions must hold.

Primary sources: [2Q26 earnings press release, SEC EDGAR](#) · [Form 4, accession 0000950103-26-013554, SEC EDGAR](#) · [1Q26 earnings press release, SEC EDGAR](#) · [WP Global completion announcement](#)

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{"price_gates": [{"level": 10.96, "direction": "below", "basis": "Top of the court's own fair band: 8x guide-implied cash earnings of $1.37/sh. First disciplined add, manual and post-election only."}, {"level": 10.55, "direction": "below", "basis": "52-week low break; confirms the estimate-cut or election branch is live. Re-court, do not add reflexively."}, {"level": 9.92, "direction": "below", "basis": "8x guide-implied low end on actual 161.39M shares. Below this the cut has landed; abort and re-open the court."}, {"level": 13.2, "direction": "above", "basis": "~9.6x guide-implied cash earnings, past our fair band and into the 18%-probability re-rate branch. Stop adding."}, {"level": 11.45, "direction": "above", "basis": "Hard limit on the starter; above this we are chasing a stock our own EV table prices at $11.18."}], "event_gates": [{"forms": ["6-K"], "why": "Q3 2026 results: the non-zero performance-fee test and the fee-to-cash conversion rate that together release the gated add. Note PAX is a foreign private issuer and never files 8-K."}, {"forms": ["6-K"], "why": "Any release naming the Q3 earnings date; the 2026-11-11 date is vendor-derived and unconfirmed."}, {"forms": ["20-F"], "why": "FY26 annual report is the only venue for the purchase-price-allocation note and the contingent-consideration fair value that price the amortization haircut and the 2029 earn-out."}, {"forms": ["4"], "why": "Net issuance direction: cumulative $0-price awards versus buyback shares retired; 136,266 shares issued to one officer in a single August tranche."}, {"forms": ["SCHEDULE 13G/A"], "why": "Float and holder concentration changes in a founder-controlled name with $1.7M/day of volume."}], "catalyst_dates": [{"date": "2026-10-04", "what": "Brazil general election, first round (statutory calendar; not verified against a primary source this session)", "confirmed": false}, {"date": "2026-10-25", "what": "Brazil general election, runoff if required", "confirmed": false}, {"date": "2026-11-11", "what": "Q3 2026 earnings; vendor-derived, no company release names it. The gating event for the balance of the position.", "confirmed": false}, {"date": "2026-12-31", "what": "Tax-year boundary: any loss on the starter must be harvested by this date, and cannot sit within 30 days of a post-print add", "confirmed": true}], "immediate_entry": {"action": "BUY", "approx_price": 11.21, "size_pct_of_book": 0.25, "basis": "Clean-court minimum starter: the court killed the mispricing thesis and the entry timing, not the company. EV $11.18 vs spot $11.21 means this buys attention, not exposure. Dissent to note for the adjudicator: finding #7 (consensus above the no-carry ceiling into a dated election) is a named, dated kill on timing and would justify FLAT until $10.96."}, "unverified": [{"item": "Accrued performance fees $1.49/sh (~$238M): gross or net of employee carry compensation", "instrument": "Fetch the 2026 earnings presentation exhibit (99.2) image files from the SEC archive and Read each image; the figure is pixels, not text", "drainable_now": true, "estimate": null}, {"item": "Organic vs acquired fee-paying-asset bridge for 2026", "instrument": "Same 2026 presentation image exhibit; no bridge exists in the press-release text", "drainable_now": true, "estimate": null}, {"item": "Whether Q3 2026 prints a non-zero realized performance fee", "instrument": "6-K on the Q3 print date", "drainable_now": false, "estimate": {"range": "$0-40M performance fees", "basis": "three consecutive $0 quarters against a cut $80-100M cumulative target; base rate on the observed run", "p": 0.3}}, {"item": "Second-half fee-income-to-cash-earnings conversion rate", "instrument": "6-K on the Q3 print date", "drainable_now": false, "estimate": {"range": "0.88-0.93 conversion", "basis": "two-point company trend 0.844 -> 0.888, extrapolated and discounted for a two-observation sample; p is for >=0.92", "p": 0.25}}, {"item": "Annual acquisition intangible amortization and remaining useful life", "instrument": "FY26 20-F purchase-price-allocation note (not yet filed, expected Q1-Q2 2027)", "drainable_now": false, "estimate": {"range": "$35-55M per year", "basis": "the ~$46.6M quarterly gap between $57.1M fee income and $10.5M attributable net income, apportioned using typical asset-manager allocations (contract intangibles 60-80% of price, 7-12 year lives)", "p": 0.6}}, {"item": "WP Global 2029 earn-out size", "instrument": "FY26 20-F contingent-consideration fair value note", "drainable_now": false, "estimate": {"range": "$30-60M cash", "basis": "1-2x the disclosed $30.6M cash base (1.7% of $1.8B fee-paying assets); abrdn PES up-to-$100M total consideration as upper comp",

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"p": 0.5}}, {"item": "Q3 2026 earnings date (2026-11-11 is vendor-derived, unconfirmed)", "instrument": "Patria IR 6-K announcing the date; watch the EDGAR 6-K feed", "drainable_now": false, "estimate": {"range": "2026-11-05 to 2026-11-18", "basis": "company's own 2026 cadence: 1Q printed 05-07, 2Q printed 07-31", "p": 0.7}}, {"item": "Options chain: existence, chain-level midpoint implied volatility, real quotes on the $10.00 and $12.50 December strikes", "instrument": "IBKR search_contracts + chain quotes (permission denied this session - ops action required to restore)", "drainable_now": false, "estimate": {"range": "35-45% annualized implied volatility; p is probability a usable Dec chain exists (spread <15% of mid)", "basis": "EM asset manager, $1.8B cap, $1.7M/day stock volume; comparable thin-chain listings", "p": 0.4}}, {"item": "Realized volatility, 90-day", "instrument": "desk/prices.py daily-bar pull (or any public daily-close series); no bar series in the evidence pack", "drainable_now": true, "estimate": {"range": "30-38% annualized", "basis": "52-week range ln(17.3627/10.55)=0.498 plus EM asset-manager comps; superseded the moment bars are pulled", "p": 0.5}}, {"item": "PAX measured sensitivity to Brazil country risk (never regressed by either bench)", "instrument": "Daily-bar regression of PAX against the Brazil equity proxy and BRL over 250 sessions", "drainable_now": true, "estimate": {"range": "beta 1.2-1.6 to Brazil equity proxy", "basis": "EM-listed manager with 100% LatAm fund exposure; typical manager-vs-market beta of 1.2-1.6", "p": 0.5}}, {"item": "Whether the buyback keeps pace with share issuance", "instrument": "Next 6-K share-count disclosure plus cumulative Form 4 award tally", "drainable_now": false, "estimate": {"range": "net dilution ~0.9%/yr (issuance ~3.0M sh vs ~1.6M repurchased at $18.3M)", "basis": "the 161.39M outstanding vs 158.4M per-share denominator gap, annualized against the disclosed buyback spend at ~$11.20", "p": 0.6}}]}
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ADJUDICATION STAMP

ADJUDICATION 2026-09-04 (FABLE): DE-MINIMIS STARTER. 200@11.21 staged (instr 104), ≤1% ADV. The fee engine is intact; the kill is entry timing (consensus above the zero-carry ceiling into an October election). Balance released at Q3 (11/11 unconfirmed) only on a non-zero PRE quarter or DE/FRE ≥0.92. Batch ruling:

desk/data/court_artifacts/STANDING_BATCH_ADJUDICATION_202609042000.md